

on sin goods and luxury items.

But amending the GST framework has not been easy. Now, after 55 meetings of the GST Council, there seems to be some consensus and political will on rationalising the rates and, perhaps, doing away with the 12% slab altogether. This could make it more concise by reducing the number of rates. A decision on this is pending with the Council, which is expected to meet towards the end of August.

Beyond these immediate decisions, opinion is divided on whether this tax system can move towards a three-rate structure in the longer run, which would reduce interpretational disputes, lower litigation and bring more certainty and stability for businesses and customers.

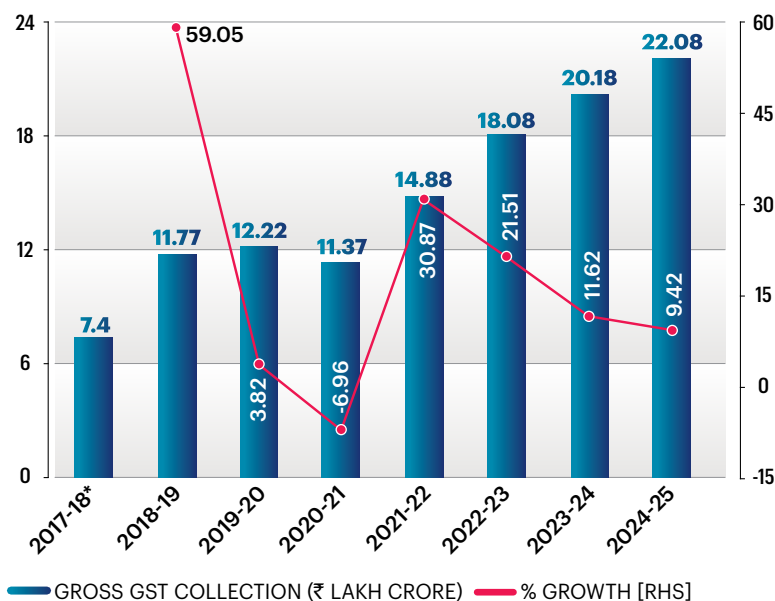
Kelkar says the proposal to remove the 12% slab will, in fact, make GST more complicated and hurt small and medium businesses and exports. This is because several goods and services will have to be moved to the 18% slab, which is largely for intermediate and input goods. On the other hand, input tax credit is not available for the 5% slab.

“Higher tax and lack of input tax credit will hurt small and medium businesses as well as exporters who import a lot of inputs. Eventually, it will be bad for the economy,” he says.

Former Kerala Finance Minister Thomas Isaac, who was part of the original GST Council that ushered in the levy, is not in favour of tampering with the rates or reducing the number of slabs. “This structure was arrived at after a long debate on the importance of having equity. In a country like India, there needs to be different rates for different items that are

ROBUST REVENUE GROWTH

- GST revenue amounted to about 6.7% of the GDP in FY25
- In FY25, gross GST collections hit a record ₹22.08 lakh crore



NOTE *July 1, 2017 onwards **SOURCE** GST PORTAL

consumed by various social and economic groups,” he says. For the time being, he adds, the levy should be allowed to settle so that the revenue implications can be fully understood.

Isaac also points out that states are already worried about loss of revenue and fiscal autonomy and would never agree to include exempt items such as alcohol, electricity and petroleum products under the GST. “It would be a disaster for states unless the rates are significantly raised,” he avers.

Kelkar, however, says that indirect taxes are not the right tool for income distribution. “The government cannot solve the problem of income inequality through indirect taxes by having multiple rates for GST. Direct taxes, and

more particularly a wealth tax, is the correct tool for this,” he says. He recommends that items such as electricity, petroleum products and sin goods such as alcohol, that are outside the ambit of the tax, should be included. “To take care of concerns of revenue losses by states, they can impose a non-VAT-able excise duty on top of GST. This will take care of revenue losses while discouraging consumption of these goods,” he says.

GST collections have risen sharply over the years, apart from fluctuations such as those during the Covid-19 pandemic, and amounted to over ₹22 lakh crore in FY25. But concerns over revenue loss have scuttled several reforms, such as a proposal to include aviation turbine fuel under the levy,